What is in a Bean?

ECX and the Specialty Coffee Market

The Ethiopia Commodity Exchange

December 2008

1 Introduction

The birthplace of coffee, Ethiopia is home to some of the finest coffees in the world. Ethiopia is currently the top African exporter and ranked sixth in the global market. With an annual production of 225,000 tons and an export sector valued at $525 million, coffee generates 60 percent of Ethiopia's foreign exchange earnings and provides livelihoods for 15 million Ethiopian smallholder farmers. The coffee economy employs several hundred thousand in processing of either red cherry *(key eshet)* or dried pulp coffee (*jenfel)* in hundreds of washing stations and hulling mills around the country. This results in "supply coffee," which is then inspected and transported and marketed by several thousands of *akrabis* or suppliers to the venerable exporters, who have long established trade ties with buyers in Europe, Japan, and the Americas. The coffee undergoes further export processing, polishing, cleaning, and sorting, before loading to the port. As important as coffee is to the economy, coffee is also consumed in large quantities at home, leaving no doubt that coffee is a way of life in Ethiopia.

Coffee marketing in Ethiopia has undergone several transformations over the decades. Recent initiatives to increase value and to benefit the coffee sector include Fair Trade certification by cooperatives, organic and specialty coffee promotion, and the trademarking and licensing initiative that has successfully established international branding of three of Ethiopia's major coffee types: Sidamo, Yirgachefe, and Harar. In July 2008, a new law (Proclamation 702/2008) and the supporting Regulation issued by the Council of Ministers replaced the existing coffee quality control and marketing legislation governing the sector for the past nearly four decades, effectively legislating that all supply coffees, with the exception of grower direct exports, are to be traded in the newly established Ethiopia Commodity Exchange (ECX). This move is as bold and as fundamental a transformation as the opening of the Coffee Auction was to the sector in 1972, prior to which gentlemen coffee traders would swap samples of coffee in handkerchiefs prior to striking a deal. The present innovation to coffee trading in ECX, in a similar spirit of continuous improvement and achievement, launches a new era for Ethiopian coffee.

However, the new legislation does not explicitly address or provide specific treatment for a small but important share of export coffee denoted as "specialty coffee," which may also include organic coffee for the purposes of this Note. As niche market coffee, specialty coffee can be considered a high end, high value product, relative to bulk or commodity coffee. Some argue that Ethiopia is a unique case as regards specialty coffees, the emphasis on which has recently emerged as an important market trend. What makes Ethiopia special in the specialty coffee world is that, as the origin of coffee, Arabica coffee has grown in the south-western highlands of Ethiopia for thousands of year. Over this time, an incredible genetic diversity of coffee varieties has evolved as a combination of natural advantages in the country's ecosystem: altitude, ample rainfall, optimum temperatures, and volcanic fertile soils. Thus, Ethiopia is home to some two thousand indigenous strains or cultivars of coffee and the research system has introduced at

present 24 formal varieties of Arabica coffee. This is unique relative to other coffee producer countries where the coffee plant was introduced much later with much less genetic variety.

Second, the way in which coffee is cultivated in Ethiopia is also significant in understanding both the nature of coffee as well as the coffee market structure. Ethiopian coffee is cultivated in four distinct production systems. *Forest Coffee* is self-sown and naturally grown wild under full forest coverage mainly in south-western Ethiopia, and represents a tenth of total production. *Semi-forest Coffee,* also grown under forest canopy in the same region has limited human intervention, represents a third of total production. *Garden Coffee* refers to the bulk of Ethiopian coffee (more than 50 percent), grown by smallholder farmers inter-cropped with cereals, fruits, and vegetables, mainly in the southern and eastern regions. Finally, *Plantation Coffee* is grown on large state owned or commercial farms, representing 5 percent. This cultivation system combined with the genetic wealth results in a diversity of coffees produced for market, with the potential to qualify as specialty coffees, by millions of small scale producers. In contrast, coffee in other producer countries is mainly plantation or estate cultivated, with fewer varieties, and thus more homogenous.

Against this backdrop, the objective of this Discussion Note is to examine the implications of the recent legislation to trade all coffees in the Ethiopia Commodity Exchange (with the exception of grower direct exports) for the marketing of specialty coffees. For the purposes of discussion, we include the whole basket of "niche" coffees as specialty coffee, including wild forest coffee, shade grown, bird-friendly, mountain, and organic coffees in addition to specific geographic appellations. We begin by highlighting the background and justification for introducing coffee trading into the recently established Ethiopia Commodity Exchange in the next section. From there, we focus on specialty coffee, starting with definitions and perspectives on its certification. From there we proceed to a discussion of the relative importance of specialty coffee in the Ethiopian coffee industry and an analysis of possible implications for specialty coffee in the context of the Ethiopia Commodity Exchange.

2 Impetus for Change

Coffee as commodity has been traded for more than for more than 1500 years and Ethiopia is the oldest coffee exporter in the world. For centuries, Ethiopian merchants transported coffee in caravans of mules, camels, and donkeys. In the late nineteenth century, coffee had become one of Ethiopia's more important cash crops, even exported to far destinations such as London, Marseilles, New York, and Trieste. Trade then flowed along two major trade routes, either north to Massawa port via Gondar and Adwa or east along the Awash River valley to Harar and then on to Berbera or Zeila ports, although prior to 1920, Ethiopia still consumed the bulk of the coffees it produced.

As the export of coffee picked up, in the 1940s and 50s, a common practice was for brokers to circulate samples of various coffees in their handkerchiefs to show to the few exporting houses. With limited information, coffee trading was costly and highly arbitrary, with farmers and local suppliers often at the mercy of the brokers. By 1957, as production and exports grew, the Imperial regime established the National Coffee Board to regulate coffee marketing and quality control. In this era, a system of strict quality control from the production area to the export channel was established. However, the Auctions in Addis Ababa and Dire Dawa did not emerge for another sixteen years until 1972, at the request of both suppliers and exporters equally concerned by the need for an improved trading system that would be managed, at their request, by the State as a neutral third party. The coffee auctions were established as a Dutch type ascending price bidding system, hosting the two sides of the market, the akrabis (or suppliers) and the exporters, with trading on the basis of sample and bidding lot by lot. In this system, all coffees are brought to Addis Ababa, with the exception of Harar type coffee, which is brought to Dire Dawa. At the central market, it is inspected and graded and sold on a sample basis, with payment upon delivery to the exporter. This system, although going through some modification, survived nearly intact over three regimes, nearly four decades, and numerous regulatory and policy changes to the sector, up to the present.

However, over the past decade, there has been mounting policy concern with the existing coffee trading system and several factors contributing to the impetus for a transformation of the trading system to a commodity exchange model. The first concern is with increasingly **non-competitive practices related to vertical integration of the coffee supply chain.** Exporters engage in direct contracting with suppliers as a means to ensure supply and reduce their risk exposure when they sell forward in international market. In addition, vertical integration gives them the traceability advantage which is available to cooperatives. This vertical integration in turn undermines the price discovery that is central to the auction system, distorting price signals to the market participants. An export firm may bid on its own supply coffee at a much higher price to discourage others from buying it, leading to false price signals in the market (IFPRI, 2003).

The second concern relates to **quality and quality dispute resolution**. As Ethiopian coffee is produced in small quantities by many small farmers, quality is difficult to manage and significant

quality losses occur at various stages. In production, Ethiopian coffee is susceptible to Coffee Berry Disease (CBD) which requires good cultivation practices and additional production investment to circumvent. Quality losses also occur in poor post-harvest on-farm processing, including weak storage infrastructure and contamination with other products. Further quality losses also occur in the dry or wet-processing stage. There are approximately 637 washing stations and 480 sundried coffee processing plants. At the terminal market, grading is based on origin and there are 6 grades used with each origin, which are known in the international market. As can be seen from the table below, the bulk of Ethiopian coffee exports are low grade coffee, 3rd quality or 4th quality.

Table 1 Share of different quality coffees in total supply

.	1st	2nd	3rd	4th	Lower quality	Domestic
2000-01	2%	20%	41%	20%	4%	13%
2001-02	2%	26%	44%	15%	0%	14%
2002-03	1%	17%	51%	19%	0%	12%
2003-04	0%	10%	62%	15%	0%	13%
2004-05	0%	5%	67%	12%	0%	16%
Total	1%	15%	54%	16%	1%	14%

Source: Gabre-Madhin and Mezgebou, 2006.

Quality is also eroded during the marketing phase by adulteration of coffee origins as well as improper bagging and storage practices. For this reason, Ethiopia's export coffee does not have deliverable grade status on the international coffee market (New York), which requires maintenance of a consistent and relatively high quality set of coffees which would be priced with a constant differential to the New York price. Thus, despite its status as a relatively important producer country, Ethiopia is unique in not having acquired this status, in contrast to most producing countries.

Further, the existing system does not have an adequate quality dispute resolution system to protect all sides of the market. If a coffee is bought through auction and its quality is not found to be the same as the sample, the exporter-buyer can appeal for rechecking. But the rechecking is done by the same authority which undertook the first certification, and moreover, it is the same authority that will be giving the export certification, which can distort incentives for compliance. Also, when an exporter returns the product for rechecking, the supplier has to bear the costs in the meantime. In addition, exporters use this opportunity to renegotiate and lower the purchase price.

A third issue is **weak risk management**. Given the volatile international market, all market players face significant risk that they have difficult managing. There are several types of risks. First is price risk, due to market conditions. This is followed by the risk related to the quality of coffee that the exporters purchase from the suppliers (akrabi) in the auction market. In addition to the above risk, exporters have to face the risk of weight loss until the coffee reaches the importers. For their part, suppliers do not have sufficient information on the international coffee markets, which exposes them to a higher risk in the auction (Muir, 1997). If, for instance, the supplier purchases coffee on the basis of current price, there is no guarantee that the price will be similar when the coffee is processed and delivered.

A New Era of Coffee Marketing under the Ethiopia Commodity Exchange

After an incubation period of 18 months in which the system was designed and implemented and the legal framework and regulatory agency were created, the Ethiopia Commodity Exchange was established in March 2008 and started trading operations in April 2008. With the Ethiopia Commodity Exchange (ECX), a modern trading system based on standard coffee contracts establishes standard parameters for coffee grades, transaction size, payment and delivery, and trading order matching, while, at the same time, preserving the origins and types of coffee as distinct. As shown in Table 2, there are 3 contract classes (washed, unwashed, local), 190 export coffee contract types with designated origins, and 10 grades within each type, amounting to 190 distinct export type-grade combinations. In addition, local coffee (rejected for export) is classified according to type (washed, unwashed, and by-product), regional origin, and 5 grades, resulting in an additional 45 local type-grade combinations. This results in a trading system which, while relying on standardization of commodity grades, actually has a great deal of differentiation of the coffees traded, with some 245 coffee classifications.

Unlike the existing auction trading system, quality control is undertaken in liquoring and inspection units located in the major coffee producing areas and the coffee is then weighed and inventoried in ECX operated warehouses. Trade is thus on the basis of warehouse receipt issued to the depositor rather than on sample basis. ECX manages a Central Depository of electronic warehouse receipts, removing the risks of paper loss or fraud.

ECX quality certification is based on a modification of the existing quality grading system, with a new coffee classification based on coffee classes-types-grades, with two processing classes (washed, unwashed), types according to region and sub-regional origins, and an expanded set of grades from the original 5 grade distinctions to 9 grades. ECX inventory management is based on a non-identity preserved, first-in-first-out system, in which where coffee is stocked by classification rather than by identity of the depositor. Moreover, quality and quantity are certified both at initial deposit by the depositor and at delivery (pick-up) by the buyer.

Trading can only occur on the basis of warehouse receipts and can only be conducted by registered Members of the Exchange, trading either for themselves or on behalf of clients. The trading platform is an open outcry competitive bidding system, with a trading floor in Addis Ababa and sequential trading sessions according to different classes and types of coffee. Trades are entered into a data system and order reconciliation is undertaken automatically to ensure the validity of the trade. Following reconciliation, at the end of each trading session, the ECX Clearing and Settlement system automatically undertakes a netting exercise to determine net obligations of members after multiple buy and sell trades and then proceed to settle all trades through an electronic interface with partner settlement banks in which all Members are required to hold accounts and to make pre-trade deposits. This ensures a zero default system. At settlement, which occurs within less than a day of trade, the warehouse receipt title is transferred to the buyer and the buyer can take delivery. Alongside the other back office operations, simultaneously, at trade, the price of the transacted coffee is transmitted in real time (in less than five seconds) to a number of data outlets: electronic display boards in regional towns and rural centers, instant mobile messaging, website, and at the end of trading day, to radio, TV, and print media.

By law, the Ethiopia Commodity Exchange is mandated to conduct both spot and futures trading. Thus, futures contracts, which are contracts for delivery at a pre-specified period at the agreed price, enable market actors are able to manage price risks by locking in prices and supply.

Table 2. ECX Coffee Contracts by Class-Type-Origin

Class	Type	Origin (by zone)	Symbol	Grades
Washed	**Yirgachefe A**	Yirgachefe, Wenago (partial), Kochere, Gelana Abaya (partial).	WYCA	1 to 9, UG
Washed	**Yirgachefe B**	Yirgachefe, Wenago (partial), Kochere, Gelana Abaya (partial).	WYCB	1 to 9, UG
Washed	**Sidama A**	Borena, Benssa, Guji, Arroressa, Arbigona, Bale and W. Arsi.	WSDA	1 to 9, UG
Washed	**Sidama B**	Aleta Wendo, Dale, Chiko, Dara, Shebedino, Borena, Wensho and Loko Abaya	WSDB	1 to 9, UG
Washed	**Sidama C**	Kembata & Timbaro, Wellayta, S. Omo and Gamugoffa.	WSDC	1 to 9, UG
Washed	**Limmu A**	Limmu Seka, Limmu Kossa, Manna, Gomma, Gummay, Seka Chekoressa, Kersa, Shebe and Gera.	WLMA	1 to 9, UG
Washed	**Limmu B**	Bedelle, Loppa, Chorra, Yayu, and Alididu Dedessa.	WLMB	1 to 9, UG
Washed	**Tepi**	Mezenger (Godere) and Sheka.	WTP	1 to 9, UG
Washed	**Bebeka**	Bench Maji.	WBB	1 to 9, UG
Washed	**Lekempti**	Kelem, East and West Welega.	WLK	1 to 9, UG
Unwashed	**Jimma A**	Limmu Seka, Limmu Kossa, Manna, Gomma, Gummay, Seka Chekoressa, Kersa, Shebe, Gera.	UJMA	1 to 9, UG
Unwashed	**Jimma B**	Bedelle, Loppa, Chorra, Yayu, and Alididu Dedessa.	UJMB	1 to 9, UG
Unwashed	**Sidama A**	Borena, Benssa, Guji, Arbigona and Arroressa.	USDA	1 to 9, UG
Unwashed	**Sidama B**	Wenago, Yirgachefee, Kochere, Dale Zuria, A. Wendo, Dale, Chiko, Dara, Shebedino, Amaro, Wensho, and Loko Abaya.	USDB	1 to 9, UG
Unwashed	**Sidama C**	Kembata & Timbaro, Wellayta, Derashe, W. Arsi (Nonsebo), S.Omo, and Gamo Gofa.	USDC	1 to 9, UG
Unwashed	**Harar A**	E. Harerege.	UHRA	1 to 9, UG
Unwashed	**Harar B**	W. Harerege, W. Arssi and Bale (Berbere).	UHRB	1 to 9, UG
Unwashed	**Lekempti**	East and West Welega and Kelem.	ULK	1 to 9, UG
Unwashed	**Forest**	Sheka zone, Bench Maji zone, Mezenger zone, Kaffa zone	UFR	1 to 9, UG
Local	**Local**	Reject for export by region and processing type	LOC-xx	1 to 5

The commodity exchange model thus adds value to the Ethiopian coffee sector in the following direct ways:

- Commodity classification that still retains a great deal of differentiation to accommodate the diversity of Ethiopian coffees while increasing transparency and product integrity;
- Secure inventory management in production area and a guaranteed warehouse receipts system that ensures zero delivery default and reduces mixing of coffee origins during the marketing process;
- Quality certification that preserves the origin of the coffee and establishes a finer distinction between coffee qualities;
- Trading system that ensures competition and transparency;
- Clearing and settlement of payments that is quick and guaranteed, with a zero default settlement system;
- Aggressive market data dissemination that provides clear signals of prices according to quality and that enables even small market actors to benefit from market data knowledge of both national and international prices; and,
- Through improved consistency of qualities and reliability of delivery, creates the potential to obtain deliverable grade status in the New York market, which achieves higher prices across all coffees, which in turn enhances Ethiopia's competitiveness in the world coffee market.

We now turn to a closer look at what makes a coffee specialty, and the feasibility and/or implications for trading such coffees through the Exchange.

3 What about Specialty?

What makes a coffee special?

Over the past three decades, coffees denoted as “specialty” or sometimes referred to as “fine” or “gourmet” coffees have emerged as a specific top end or niche market segment. Alongside this, markets have opened up for “Fair Trade” coffee, organic coffee, bird friendly coffee, forest shade-grown coffee. Other trends have been the use of trademarks, branding, geographic indicators, and appellations. All of these are efforts to distinguish a particular coffee as special or unique, and in so doing, to add value at the retail price. While there appears to be some confusion as to the definitions and boundaries of the different labels, for the purposes of this analysis, we emphasize any type of labeling that adds value to the market and that receives a price premium. Value can be added from an intrinsic attribute of the physical coffee itself, from the nature or practices employed in the production or processing of the coffee, from the tracing of the coffee to its origin and to the producers themselves, from the environmental or societal impacts of the coffee cultivation, from the marketing of the coffee and its economic returns to poor producers, or from other branding, trademarking or market identity creation efforts. In sum, all of these efforts are an attempt to take coffee away from its commodified nature, where its homogeneity is emphasized, to a differentiated product on the basis of which value can be derived. However, while the specialty market is growing rapidly, with an estimated growth of 10-12 percent annually in North America and less in Europe and Japan, it still remains a very small segment of the overall coffee market with less than 2% global market share. We explore briefly the different distinctions among “specialty-plus” coffees.

1) Specialty Coffee

According to the Specialty Coffee Association of North America (SCAA), the term "specialty coffee" was first coined in 1978 and referred to a simple concept that special geographic microclimates produce beans with unique flavors or attributes. The fundamental premise behind the idea of specialty coffee starts with a geographic appellation, as in the case of wine or cheese. However, the concept of specialty is not limited to geographic location but also has to do with specifications regarding the processing, roasting, and even brewing of these fine coffees. Thus, the definition of specialty coffee starts from the geographic origin of the coffee and the planting of a particular varietal in a particular growing region of the world, but does not stop there. The definition also includes the agricultural practices employed to produce a specialty coffee, through harvest to post-harvest processing. In the green bean phase, a specialty coffee is defined as a coffee that has no defects and has a distinctive character in the cup. Thus, while a “premium” coffee must be a coffee with no defects, a specialty coffee must have, in addition, a notable and distinctive character. From the green bean phase, there are specific criteria for roasting, brewing, and freshness to maintain a coffee as specialty. It is said that, in the end, specialty coffee is defined in the cup. It takes many steps to deliver that cup into the customers' hands. Each of those steps can uphold the classification of specialty if quality has been maintained throughout all the preceding steps.

Taking this definition of specialty, therefore, it is difficult to narrowly define specialty on the basis of origin or even of the green bean's physical or intrinsic qualities such as being defect free or embodying character. Rather, the definition of specialty seems to refer to the maintenance of an integrated value chain starting from where the coffee is produced, to how it is harvested and processed, to the roasting and brewing of the coffee.
Clearly this is a difficult concept to work with from a market perspective since the chain transcends national boundaries and cuts across different industries and actors. Following the notion that "beauty is in the eye of the beholder," what gives specialty the market premium it enjoys might have more to do with the consumer at the end of the chain than the actual physical or geographic attributes of the coffee. Value can also be obtained from embedding attributes than have nothing to do with the coffee or the location but other factors such as who produced it, how it was produced, or how it is marketed. But at the end of the day, a specialty coffee is one that is considered a superior quality unique coffee with a distinct character for which buyers are willing to pay a premium price.

2) Forest coffee

Forest grown coffees can be considered a type of specialty coffee, although they have a distinct marketing that sets them apart. Forest coffees from the prime coffee regions such as the mountains of Oaxaca in Mexico, if wet processed under exacting conditions, have the potential to be the coffee equivalent of the finest $100 a bottle Cabernet wines of Bordeaux and Napa, with all of the subtle variations in flavors influenced by the forest environment, intensified by the long ripening process in shade.
After picking, there are some dozen critical points in coffee processing that must be done with impeccable care in order to obtain the superior coffees. If any one step is done wrong in the processing, such as allowing too many green berries, or fermenting for too long or too short a time, or allowing a rain squall to wet the drying coffee, or allowing the dried, bagged coffee to get damp, the professional buyers will taste it and reject it in the process known as "cupping".

3) Organic coffee

Organic coffee is grown using methods and materials that have a low impact on the environment. In contrast to specialty, the emphasis with organic is on the environmental and health impacts. Organic production systems replenish and maintain soil fertility, reduce the use of toxic and persistent pesticides and fertilizers, and build biologically diverse agriculture. Third-party certification organizations verify that organic farmers abide by the law.

In order for coffee to be certified and sold as organic in the United States, it must be produced in accordance with U.S. standards for organic production and certified by an agency accredited by the U.S. Department of Agriculture. U.S. requirements for organic coffee production include farming without synthetic pesticides or other prohibited substances for three years and a sustainable crop rotation plan to prevent erosion, the depletion of soil nutrients, and control for pests.

Global sales of organic coffee reached 67,000 metric tons (or about 148 million pounds) in 2006, a 56 percent increase from 2003 when approximately 42,000 MT were exported. Forty-

four percent of the total was consumed in North America, of which approximately 85 percent was consumed in the United States. The US Organic Trade Association data shows that organic coffee sales in the United States amounted to approximately $110 million in 2006, up 24 percent from the previous year. The 32 percent annual average growth rate for the organic category between 2000 and 2007 dwarfs the estimated 1.5-2 percent annual growth rate of the conventional coffee industry.

Organic coffee is grown in 40 countries including Bolivia, Burundi, Brazil, Cameroon, China, Colombia, Costa Rica, Cuba, Dominican Republic, Ecuador, El Salvador, Ethiopia, Ghana, Guatemala, Haiti, Honduras, India, Indonesia, Kenya, Lao PDR, Madagascar, Malawi, Mexico, Nepal, Nicaragua, Panama, Peru, Philippines, Rwanda, Sri Lanka, Thailand, Timore-Leste, Togo, Trinidad and Tobago, Uganda, United Republic of Tanzania, United States (Hawaii), Venezuela, Vietnam, and Zambia. The leading producer countries are Peru, Ethiopia, and Mexico.

The USDA organic seal can appear on any coffee product that contains at least 95 percent organic ingredients and that has been certified as organic by a certification agency accredited by the U.S. Department of Agriculture. The coffee may also carry a label saying “100 percent organic” or “Organic.”

4) Fair Trade

Fair Trade certification focuses on labor and trade standards to provide small-farmer co-operatives a guaranteed price above the conventional market. Not all Fair Trade Certified coffee is necessarily organic. However, Fair Trade certification does require strict environmental stewardship such as prohibiting the use of genetically modified organisms (GMOs) and the most hazardous pesticides. Seventy-eight percent of all Fair Trade Certified coffee sold in the United States is certified organic. In the United States, transactions must be audited by TransFair USA to use a Fair Trade Certified label. Certified organic producers of Fair Trade coffee receive at least $1.55/lb (as of June 1, 2008).

5) Bird Friendly

Bird Friendly can only be used by operators that meet inspection and certification requirements of the Smithsonian Migratory Bird Center. All certified Bird Friendly coffee must also be certified organic. Bird Friendly certification requires that the coffee be shade-grown with a wide variety of native shade trees and other shade-providing species. No synthetic chemicals can be used in the processing of Bird Friendly coffee.

A level of tree shade of at least 40% is recommended, with the shade needing to come from at least 10 different species of trees over and above the ubiquitous *Inga* spp. The exact species of trees will depend on the region and altitude. However, it is necessary that they be of heterogeneous architecture and have good variation in fruiting periods in order to spread out food resources over the winter season. It is recommended that the shade cover be measured using an optical densiometer, a concave mirror device. Lower, mid-, and higher level foliage should each represent at least 20% of the shade, with the higher level foliage averaging at least 12 meters in height.

6) Trademarks

Trademarks distinguish the products of one enterprise from others. A certification mark is a particular type of trademark that — though owned by a particular enterprise or association — may be used by anybody who complies with certain standards. Certification marks are widely used to protect various labelling and certification schemes, including in relation to some types of coffee.

7) Geographic Indications or Designations of Goods

A geographical indication, also known as a denomination, indication of source or *appellation d' origine contrôlée* (AOC), is a label used on goods that have a specific geographical origin and are claimed to possess qualities or a reputation attributable to that place of origin. Geographical indications may be used for a wide variety of agricultural products, including champagne, a type of wine produced in a particular part of France, Roquefort, a cheese produced in France, and mozzarella, a buffalo cheese produced in Italy.

Geographical indication is collective, potentially encompassing the output of hundreds or thousands of enterprises, in contrast with trademarks, which identify individual brands, products or organizations. Typically a geographical indication consists of the name of the place of origin of goods, in particular agricultural products such as wine, cheese or meat. Agricultural goods identified in that way are typically asserted to have distinctive qualities that derive from the place of production, are influenced by specific local factors such as soil and climate, and may embody cultural attributes such as production by craftspeople using traditional methods rather than large scale manufacture. Whether a label functions as a geographical indication is a matter of both national law, usually underpinned by a formal registration scheme, and reflected in international trade agreements such as TRIPS, and consumer perception.

8) Appellations and Indications of Source

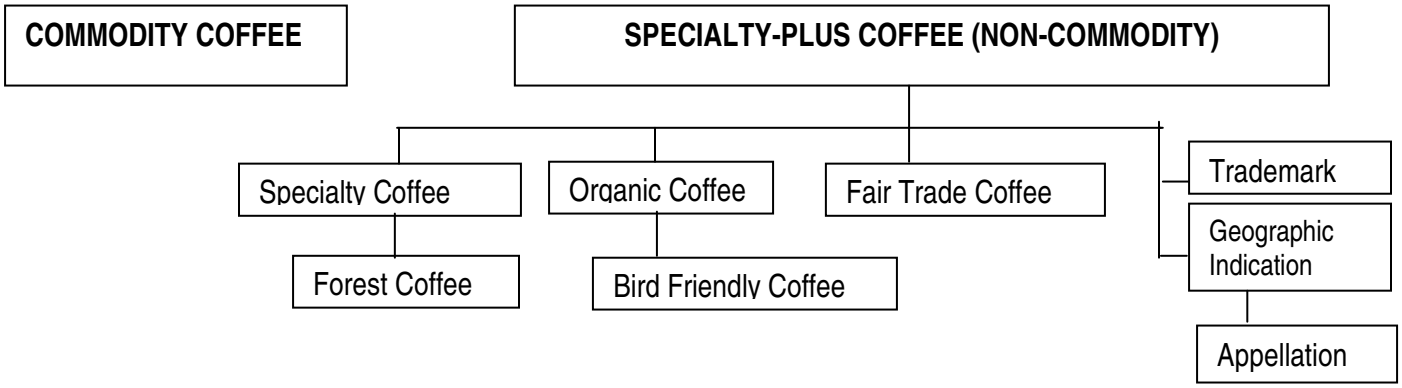
The term 'geographical indication' has been used loosely - or opportunistically - to cover two levels of identifiers. An indication of source typically identifies that a product has been produced in a particular location. That product might be an agricultural commodity such as wine, processed meat or cheese. It might instead be a handcraft, such as Thai silk, and much of the disagreement in trade negotiations at the bilateral and multilateral levels has concerned whether protection should be extended beyond a small number of agricultural products (particularly products from Europe).

Mere association of a product with a place of origin - a mechanism provided through such things as the 'Australian Made' label - does not necessarily signify quality. The second level of geographical indication - often referred to as appellation of origin (or denomination) - accordingly seeks to signal the particular product's quality. Rights to the appellation are typically restricted to producers that are located in the particular location, are registered and abide by a regulatory regime that emphasizes specific production techniques and standards. Registration and supervision might be by a private sector body that has government recognition.

Proponents of appellation schemes usually seek exclusive use of the particular identifier and for example argue that the term 'champagne' can only be used to characterize a type of alcoholic beverage produced in the Champagne region of France.

In sum, recent trends to carve out a niche market in which coffee is no longer considered a pure commodity but rather a high value product focus on either the geographic origin, the cup quality and uniqueness of character, the cultivation system, the environmental impact, the social impact, or a combination of these, as summarized in Figure 1. The plethora of marketing labels represent different attempts to achieve a similar objective: to add value to the coffee by de-commodifying it. This marketing evolution can be seen as part of a global trend that is based on greater consumer consciousness and emergence of ethical and environmental standards on the one hand (also manifest in the horticulture and other commodity sectors) and the push to derive more value for commodity-dependent producer countries on the other hand.

Figure 1. Specialty-plus coffee categories



As the specialty-plus industry has grown, certification and standards for labeling have also been forced to make order of what is still a confusing market. We explore briefly the trends in certification.

Who decides what is special?

Certification and standard setting in the specialty-plus coffee industry is fast growing, in an attempt to keep pace with market trends. The exacting requirements of the specialty-plus coffee market, along with the geographical isolation of the growers, makes it really challenging to connect the multitude of small-scale growers to gourmet coffee consumers. Certification programs are one of the several necessary mechanisms for connecting the quality, socially and ecologically conscious consumer to the coffee producers who fulfill the requirements. However, organizing producers in the producer countries to improve production, processing, and marketing remains still a big gap.

A coffee is ultimately defined as “special” by the consumer. However, industry associations are in the process or have established standards for certification of different types of specialty-

plus coffee. In the case of specialty coffees, the Specialty Coffee Association of North America (SCAA), Specialty Coffee Association of Europe (SCAE), and Specialty Coffee Association of Japan (SCAJ) provide certification programs. In the case of organic coffee, various US and other organic coffee associations provide certification standards. In the case of Fair Trade, in the US and Europe, Transfair and other organizations provide certification programs.

To complement the establishment of certification standards, third party certification agencies have emerged which have been expanding rapidly which can be accredited or recognized by the various industry bodies. These third-party certification agencies are establishing a presence in many of the fine coffee producing countries. However, as yet, for example in Ethiopia, there are no domestic certification mechanisms.

We briefly review the existing standards for certification in the various categories.

1) Fair Trade

In order to be a Fair Trade approved coffee grower, growers must meet the following standards:

1. Producers must be small, family-based growers.
2. Producers must be organized into politically independent democratic associations.
3. Producers must pursue ecological goals by conserving natural resources and limiting chemical input use.

Coffee importers using Fair Trade labels must comply with another set of Fair Trade standards:

1. Purchases must be made directly from grower organizations using purchasing agreements that extend beyond one harvest cycle.
2. Importers must guarantee the FLO minimum price
3. Importers must offer pre-financing equal to 60 percent of the contract value upon request.

2) Direct Trade

In the mid-1990s, shortly after Starbucks began radically reinventing the culture of American coffee drinking, small specialty coffee roasters started looking for alternative ways to do coffee business. Neither the traditional trade relations model (coffee sales brokered in bulk) nor the Fair Trade model appealed to these artisan coffee specialists. And so a third way, “Direct Trade,” came into being. Roasters in the high end coffee business seek out and develop personal trade relationships with growers. These direct traders can buy from growers that don’t qualify for Fair Trade certification and can get the highest quality coffee while coffee growers can and do demand a high price for their exceptional beans. In this case, there is no third party certification but rather evaluation by the buyers themselves.

3) **Rainforest Alliance**

The Rainforest Alliance, founded in 1987 and based in New York, began with the first sustainable forestry certification program launched in 1989. The purchase of Rainforest Alliance certified coffee ensures that the consumer is supporting an NGO dedicated to a two-pronged mission of transforming land use and educating the public about the world’s eco-systems and wildlife. In addition to overseeing the certification of farms, the Rainforest Alliance has a sustainable tourism program, a free online educational program, and a free online searchable database of conservation projects. However, coffee sellers can use the Rainforest Alliance label on their coffee bags even if only 30% of the beans are Rainforest Alliance certified. And the Rainforest Alliance does not provide crop pre-financing (like Fair Trade does).

4) UTZ Certified

UTZ is a certification program launched in 2002 by the Dutch food retailer Ahold, and is one of the fastest-growing certification programs in the world. The UTZ certification program has a code of conduct; however, the criteria for certification are less strict than the criteria applied by Fair Trade. Utz Kapeh (which is Mayan for "good coffee") has the least stringent environmental criteria of any of the major certification programs. A strength of the UTZ certification is its transparency system. Utz Kapeh emphasizes recordkeeping with traceability from for Utz Kapeh certified coffee from grower to roaster.

5) Organic

In order for coffee to be certified and sold as organic in the United States, it must be produced in accordance with U.S. standards for organic production and certified by an agency accredited by the U.S. Department of Agriculture. U.S. requirements for organic coffee production include:

- It must have been grown on land without synthetic pesticides or other prohibited substances for three years.
- There must have been a sufficient buffer between the organic coffee and the nearest conventional crop.
- The farmer must have a sustainable crop rotation plan to prevent erosion, the depletion of soil nutrients, and control for pests.

The USDA Organic seal can appear on any coffee product that contains at least 95 percent organic ingredients and that has been certified as organic by a certification agency accredited by the U.S. Department of Agriculture. The coffee may also carry a label saying "100 percent organic" or "Organic."

6) Bird Friendly

The Smithsonian Migratory Bird Center (SMBC) coffee program has developed a certification program for bird-friendly coffee, incorporating much of what has been learned about critical elements of forest biodiversity and architecture and integrating them, to the extent possible, with critical elements of coffee production, so as to allow a certain level of solar radiation and available rooting space in the soil. Inspections are done by independent inspectors who are accredited by the SMBC. Many of these inspectors also inspect for organic certification organizations. Farms that are certified under SMBC bird friendly criteria can put the SMBC bird friendly coffee seal on their coffee. To certify under the SMBC program, coffee farms must first be certified organic.

7) 4C Verification

4C is a verification system rather than certification, that brings together all of the actors in the coffee value chain around the adherence to the 4C Code of Conduct, which guides participants towards a more sustainable production, post-harvest processing and trading of coffee. The 4C Code of Conduct covers 30 social, environmental and economic principles for all actors in the green coffee supply chain (such as farmers, plantations, producer organizations, estates, mills, exporters, traders, etc.). Once the participants have eliminated 10 practices defined as unacceptable, they have to continuously improve their practices in order to comply with the Code of Conduct. This unique approach makes 4C a non-competitive but complementary initiative to existing standards.

4 Special Ethiopian Coffee

In the Ethiopian context, two market trends are currently at play in the coffee sector. On the one hand, Ethiopia has been recently pursuing a strategy of achieving recognition as the home of specialty coffees, evidenced by its efforts to brand and trademark three origins of coffee and to showcase Ethiopian coffee at various Specialty Coffee Associations, including in North America, Europe, and Japan. The private sector and the cooperative sector have made efforts to obtain Fair Trade certification and to promote organic and specialty coffee exports, as well as to pursue niche markets such as forest coffee, bird friendly, and others. The policy environment and investment climate has been very conducive in the past decade to encourage private sector investment in washing stations, which has resulted in the doubling of the washed coffee share to some 30 percent of overall exports. Moreover, numerous donor financed initiatives are also ongoing with the intention of promoting quality and yield on-farm and focusing on the specialty-plus value chain. On the other hand, a strategic policy decision has been made to establish the Ethiopia Commodity Exchange, intended for use as the exclusive trading system for coffee, outside of direct exports by growers. As noted in an earlier section, the commodity exchange model emphasizes reliability and integrity of trade by securing inventory and managing payments, within the parameters of a standardized commodity classification and a non-identity preserved inventory management and delivery. The premise of the Exchange is to add value to the coffee sector by delivering high quality coffee that is consistently, transparently and reliably traded, to the market. The ECX approach is to explicitly treat rather than ignore what are known as the specialty-plus coffees in the ECX trading.

How much specialty-plus?

To begin, it is important to determine the magnitude of the specialty-plus coffee segment in relation to the total Ethiopian coffee industry. This is a difficult empirical question because there is no explicit framework or regulatory framework for distinguishing or tracking specialty or other “special” coffee exports from the country. Thus, estimates tend to be biased depending on who is undertaking the measurement. Some argue that all of Ethiopian coffee, because of its altitude, various microclimates, and varietal diversity as a country of origin, has the potential to be specialty coffee. While this may be true in terms of potential, in actual practice, the numerous quality losses throughout the marketing chain indicate that this is not yet a reality.

There is presently no mechanism, either governmental or private, that tracks what proportion of Ethiopian coffee is actually sold as specialty. Despite numerous efforts to market Bird Friendly, forest, specialty, and organic coffees from Ethiopia, there is no legislative framework which explicitly recognizes this segment of coffees and regulates them directly, in terms of certification accreditation or monitoring, with the exception of organic coffee, which has legislation but has yet to have a publicly recognized organic coffee certification system. Nor is there a public or private third party certification body that is officially the source of information on market trends and volumes.

Due to this gap, we are forced to follow a crude method of approximating the volume of specialty coffee by comparing actual exported volumes by type of coffee with the types of export coffee that are graded by the Coffee Quality Control Center (CLU) over the past year. However, this method is possibly biased in that we have included coffees labeled as organic, as well as coffees that may not be specialty in the official sense but rather simply have been sold as premium coffees due to better marketing or geographic preferences. Thus, our estimation of specialty coffee may be biased upward. On the other hand, there may be coffees certified as specialty coffees among the coffees exported under the traditional export types, such as Yirgachefe or Sidama, in which case we may have underestimated the volume of specialty coffees.

Nonetheless, as seen in Appendix 1 (Table 3a and 3b), the proportion of "specialty coffee" is 6.4% for washed coffee and 2.4% for unwashed coffee, with an overall proportion of 3.7% for all coffees.

This crude approximation reveals the following insights:

- Exports of coffees labeled outside of the standard export types represent a very minor share of the total and are individually very small quantities;
- While a small share, there are numerous labels representing the non-standard coffees, either reflecting a locality within the region or a brand name.
- Exports of coffees within the currently trademarked brands of Harar, Yirgachefe, and Sidamo/a are the great majority of exported coffees; and
- There are virtually no top grade (1 in the case of washed and 3 in the case of unwashed) coffees exported among the main export types, suggesting that the top end may be labeled with a different name and sold as unique or specialty coffees.

This analysis leads us to two possible interpretations of the importance of specialty-plus in the current coffee market:

1) The "specialty-plus" market segment is only 3.7% of the total coffees exported, with the remainder to be considered as commodity coffee,

   or

2) A significant majority of washed Sidama and Yirgachefe and unwashed Harar could be considered specialty-plus in that they are branded and trademarked and have the potential to meet the fine coffee standards ***and***

3) A significant majority of all Ethiopian coffees have the potential to be considered organic and obtain certification ***and***

4) A significant portion of unwashed coffee can be promoted as forest coffee and/or bird friendly.

The recent policy decision to include trading of all coffees within the Exchange is based on the strategic thinking that the latter set of assumptions are correct and that Ethiopia, due to its

natural advantages as well as the concerted industry efforts of the last decade, is poised to become a major exporter of specialty-plus coffee. In order to realize this ambition, ECX is an important player through bringing the advantages that have been enumerated in an earlier section. The core element is, therefore, the commitment made by ECX to accommodate specialty coffee trading in the existing commodity exchange model. How will it do so?

ECX and specialty-plus

ECX has the flexibility to create or adapt coffee classifications and trading contracts to reflect more refined geographic indications and to incorporate third-party specialty certification, organic or other certification. As noted above, it has already exercised this flexibility to avoid excessive commodification of the coffee by creating a set of highly differentiated commodity-class-grade combinations, with at present 190 export coffee combinations. Further refinement on the basis of geographical indication can continue where necessary, with the principle that contract design responds to market needs, in as much as liquidity is not compromised.

Moreover, as third party certification is developed for non-geographic specialty markers, such as environmental impact, social impact, or other distinctions, the ECX model can incorporate these certifications into its standard contract specifications. At present, these certification systems are still being developed in Ethiopia and thus ECX adaptation, where necessary, will be part of an ongoing process in consultation with the industry. Thus, incorporating geographic origin indication and third party specialty certification into ECX contracts addresses the bulk of the needs of the specialty coffee market segment. Where there is a further need to develop traceability of the exported coffee to the actual grower, the direct channel by which growers can directly export coffee can be used.

We take the strong view that a significant majority of Ethiopian coffees have the potential to be considered fine coffees, and can be sold in the domestic market as such, with appropriate certification. The ECX model not only promotes the specialty coffee segment but also do so in such a way as to benefit the small farmer as well. The ECX model brings powerful advantages in terms of greater transparency and lower risks and costs of trading in the domestic market, which translate into greater value added for the Ethiopian coffee industry as a whole. It also enhances the profile and value added of a large segment of Ethiopia's coffee, rather than focusing on a small minority of the coffees traded under a special class.

In conclusion, the twin development of a new national trading platform alongside the unfolding strategy to create a specialty coffee identity for Ethiopia presents an exciting and dynamic scenario for coffee for the foreseeable future. Alongside ECX, further efforts to enhance specialty coffee share are required at farm level to ensure better agricultural practices, as well as in the processing stages. With a commitment to learning and to flexibly adapting its trading model, ECX creates tremendous opportunities for the sector with the promise of a significant transformation of Ethiopian coffee **toward** and not away from specialty coffee. There is no doubt that the domestic coffee industry and Ethiopia's international buyers will nimbly adapt and rise to the occasion to capture the benefits of this new platform. The future is bright with ECX.

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APPENDIX 1

Table 3a. Actual Exports and Export Certification for Washed Coffee, 2007-08

Washed - Actual Exported Volumes			Washed - Export Types Certified by CLU	
Type	Grade	Ton	Type-Grade	Ton
Amaro Gayu	2	18	**Yirgacheffe-1,2**	**7635**
Bebeka	2	486	**Sidamo-1,2**	**38428**
Bench	2	8.04	**Limu-1,2**	**5503**
Gemadro	2	252	**Tepi-1,2**	**1723**
Goma	2	128.4	Bebeka-1,2	486
Gumer	2	108	Gemadro-1,2	362
Illubabor	2	6.6	Others	98
Kefa organic	2	360.36	Total	54235
Kontir organic	2	6		
Kontir wild forest	2	25.02		
Kosa	2	108		
Lekempt	2	18		
Lekempt organic	2	9		
Limu	**2**	**4317.02**		
Limu	PB	216		
Limu	UG	450		
Moka	1	24		
Moka	2	18		
Moka natural	1	18		
Sidamo natural	2	3		
Yirga Cheffe natural	1	30.36		
Yirga Cheffe organic	2	523.98		
Limu organic	2	126		
Royal	1	15		
Royal	2	0.6		
Royal Edido	2	11.1		
Sidama	1	29.4		
Sidama	**2**	**34039.32**		
Sidama	2	18		
Sidama	C	55.2		
Sidama	PB	412.5		

Sidama	UG	1843.2
Sidama organic	2	1868.7
Sidama organic	PB	72
Sidama pea berry	2	54
Sidama	PB	36
Special wild	2	1.62
Tepe	2	1714.8
Yirga Cheffe	1	149.64
Yirga Cheffe	**2**	**6558.71**
Yirga Cheffe	PB	24.3
Yirga Cheffe	UG	348
Total		54511.87
of which Speciality Coffee		3489.78
		6.40%

Table 3b. Actual Exports and Export Certification for Unwashed Coffees, 2007-08

Unwashed – Actual Exported Volumes			Unwashed - Export Types Certified by CLU	
	Grade	Tons	Type-Grade	Tons
Amaro	3	36	**Jima-5**	**41589**
Amaro	4	2.64	**Jima-4**	**1685**
Amaro Gayu	4	18	Jima-3	78
Bale	4	504	Sidamo-5	82
Bebeka	4	9	**Sidamo-4**	**17895**
Bench	5	54	Sidamo-3	278
Bench organic	5	18	**Lekempti-5**	**25391**
Jima	**5**	**41358.18**	**Lekempti-4**	**6302**
Jima	3	36	Lekempti-3	56
Jima	**4**	**1633.82**	**Harar-5**	**2313**
Jima	**UG**	**6492.65**	**Harar-4**	**11738**
Jima organic	5	141	Arsi-3	81
Gedo	4	18	Bale-4	504
Gimbi	3	16.8	Bebeka-4	9
Gimbi	4	150.72	Bench-5 –Spec	72
Gimbi	5	1080	Tepi-4 - Spec	36
Golelcha	3	81	Tepi-3 - Spec	72
Goma	4	18	Yirgachefe-4	45
Guji	4	18	Yirgachefe-3	82
Hama	3	1.8	**UG (under grade)**	**6629**
Harar	**4**	**11738.7**	PB (pea berry)	118
Harar	**5**	**2313**	C-Grade	89
Harar	UG	180	Blend-5	
Abex	3	18	Blend-4	483
Kefa	5	89.64	Blend-3	
Kembata	4	144	Total	115627
Lekempt	3	27		
Lekempt	**4**	**5986.2**		
Lekempt	**5**	**24310.75**		
Lekempt	PB	18		
Lekempt organic	3	18		

Lekempt	4	164.94
Limu	4	33
Limu	PB	33
Moka	4	97.2
Natural special	5	108
Ogawi	4	27
Yirga Cheffe organic	4	43.2
Harar organic	4	149.64
Paralosa	3	81
US-70	4	40.8
Sidama	**4**	**17636.88**
Sidama	3	242.4
Sidama	5	81.6
Sidama	C	88.8
Sidama	PB	64.2
Sidama	UG	198
Sidama organic	3	36
Sidama organic	4	258
Stag	4	100.8
Sun dried	UG	6
Tape	4	36
Tape	3	72
Yirga Cheffe	4	2.4
Yirga Cheffe	3	82.2
Total		116256.6
of which Speciality Coffee		2817.24
		2.42%

Overall Specialty-plus Coffee Share (% of total exports): 3.69%